

3 – Employee contributions to objectives

Flipped learning - Please watch these short videos below before the start of the lesson



Do Now

Why do employees quit their jobs? In the space below provide 3-4 examples.

Reason 1	
Reason 2	
Reason 3	
Reason 4	



Learning Outcome

By the end of the lesson you will be able to use HR data and strategies to improve employee performance and retention

To Know



- I know how to calculate and interpret the following HR performance measures:
 - Labour productivity
 - Labour turnover and retention
 - Absenteeism
- I know how these metrics inform HR and management decisions.
- I know the limitations of using these data points (e.g. lack of context, short-term variation).
- I know HR strategies to improve productivity and retention, including:
 - Financial rewards
 - Employee share ownership
 - Consultation strategies
 - Empowerment strategies
- I know how these strategies impact staff motivation, engagement, and performance.



You Do

If a business is to achieve its objectives it will need to have a high-quality workforce.

However, many businesses have human resource problems.

Using your own knowledge and research answer the questions in note form

Labour turnover and labour retention

Define labour turnover and labour retention

Provide formulas to calculate labour turnover and labour retention



Outline the possible causes of increased labour turnover in a car factory

Outline the costs associated with high labour turnover in a car factory

Human resource strategies

Financial Rewards	Employee Share Ownership
Consultation Strategies	Empowerment Strategies

Indicate how these strategies could lower labour turnover in a car factory

What are the potential benefits of labour turnover for a car manufacturer?

Absenteeism

Define and provide a formula to calculate absenteeism for a working day



Outline the potential causes of absenteeism in a Sports Direct distribution centre

Outline the costs associated with absenteeism for Sports Direct

Human resource strategies

Financial Rewards	Employee Share Ownership
Consultation Strategies	Empowerment Strategies

Indicate how these strategies could help Sports Direct to reduce absenteeism

Labour Productivity

Define and provide a formula for labour productivity



Outline factors which could determine the labour productivity of a clothing manufacturer

What are the potential benefits of increased labour productivity for a clothing manufacturer?

Human resource strategies

Financial Rewards

Employee Share Ownership

Financial Rewards	Employee Share Ownership
Consultation Strategies	Empowerment Strategies

Indicate how these strategies could be used to improve a clothing manufacturer's labour productivity? (also include other strategies that focus on minimising waste)



Affirmative Checking

Practice Questions

01/21

Richer Sounds founder hands over shares in the business to employees

Julian Richer founded *Richer Sounds*, an electronics retail business. Julian Richer set up the company when he was 19 and it now has more than 500 employees. He recently announced that he would put 60% of *Richer Sounds*' shares into an Employee Ownership Trust to mark his 60th birthday.

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He said: "Having reached the age of 60 in March, I felt the time was right to ensure that the transition goes smoothly and I can be part of it. I still really care about the business but it is time for the next generation."

Each employee will receive shares and £1 000 for every year they have worked at *Richer Sounds*, which will mean an average payout of £8 000. A number of employees will receive more: one has worked there for more than 40 years, while 39 employees have been at *Richer Sounds* for more than 20 years. Julian Richer said the Trust would operate according to a set of principles to ensure it sticks to the values set by him. The company will set up an employee advisory council to represent the interests of employees.

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Key Performance Indicators for *Richer Sounds*

	2018	2017	2016
Turnover	£188 992 196	£187 062 984	£185 743 213
Gross profit margin	25.4%	25.2%	24.5%
Net profit margin	6.2%	6.8%	5.9%
Profit per employee	£19 690	£21 187	£17 979
ROCE	33.6%	44.89%	52.1%
Earnings per share (pence)	193.75p	210.6p	182.66p

Richer Sounds is giving employees shares in the business.

- 3 Evaluate the effectiveness of this strategy to increase productivity and employee retention for a business, such as *Richer Sounds*.

(20)

Paragraph 1 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE STATED BUSINESS OBJECTIVE?	One advantage is.... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Paragraph 2 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	Another advantage is ... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Paragraph 3 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE STATED BUSINESS	However, one disadvantage/limitation/point to consider is.... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...

OBJECTIVE?	
Paragraph 4 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	Another disadvantage/limitation/point to consider is.... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Conclusion: <u>4W's</u> Which option? Why? What factors does the success of your chosen option depend upon?	Overall, (directly answer the question asked) This is because... Success will depend on... It is recommended that...

Extension activity

10/21

Microsoft Japan four-day working week and productivity gains

For the month of August, *Microsoft Japan* trialled a new project called Work-Life Choice Challenge Summer 2019. It gave its 2,300 employees every Friday off in August without decreasing pay. The business said it also reduced the time spent in meetings by having a 30-minute limit and encouraging remote communication.

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The shortened weeks led to more efficient meetings, happier employees and boosted productivity by an amazing 40%. As part of the programme, the company also subsidised family holidays for employees up to ¥100 000 (\$920).

"Work a short time, rest well and learn a lot," *Microsoft Japan* President and CEO Takuya Hirano said in a statement on *Microsoft Japan's* website. "I want employees to think about

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and experience how they can achieve the same results with 20% less working time.”

In addition to the increased productivity, employees took 25% less time off during the trial and electricity use was down 23% in the office with the additional day off per week. Employees printed 59% fewer pages of paper during the trial. The vast majority of employees – 92% – said they liked the shorter week.

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Microsoft Japan's Work-Life Choice Challenge was a trial project and it is not known if these changes will be implemented in offices elsewhere in the world or on a longer-term basis. There are plans to repeat this challenge later in the year.

Evaluate whether a business such as *Microsoft Japan* should permanently introduce a four-day working week to increase labour productivity.

(20)

